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124 S. West Street, Suite 201
Alexandria, VA 22314
(703) 894-6800
http://www.campaignfreedom.org

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The Case for Corporate Political Spending

By BRADLEY SMITH

The U.S. Supreme Court's Jan. 21 decision in Citizens United v. Federal Election Commission struck down government prohibitions on the ability of corporations to spend money to support the election or defeat of a candidate. Dissenting from the court's opinion, Justice John Paul Stevens declared that the decision "undermines the integrity of electoral institutions around the nation." Some critics proclaimed it "the death of democracy." In response to the ruling, Sen. Chris Dodd (D., Conn.) announced plans this week to try to amend the Constitution to deal with the decision; Sen. Charles Schumer (D., N.Y.) and Rep. Chris Van Hollen (D., Md.) have proposed a package of changes aimed at placing such onerous and complex regulations on corporate spending that companies will be effectively unable to exercise what the court has held are constitutional rights.

Given the reaction, you can be forgiven if you did not know that even before the decision in Citizens United, 28 states, with 60% of the nation's population, already allowed corporations to make political expenditures in state elections, including Virginia, Oregon and Washington.

But isn't it true that Americans already spend too much on political campaigns? Well, the answer to that depends, of course, on what is "too much." In the two-year election cycle ending in Nov. 2008, campaign spending for all federal offices is estimated at approximately $5.3 billion. Is that too much?

The amount was just over one-third of what American spent on bottled water in 2007 alone; it is a bit more than one-quarter of what was spent on ice cream in 2008, and less than one-sixth of the $33 billion spent on weight-loss products in 2007. It was about 20% less than a single company, Procter & Gamble, spent on product advertising in the same period. And what about the Obama-McCain presidential race, the most expensive ever? The $2.4 billion spent on that race is close to what Verizon spent advertising its brand in 2008. Perhaps it simply costs more to explain to Americans the benefits of Verizon than the qualifications of candidates and their positions on complex political issues.

But political spending is higher than it used to be, right? Well, yes and no. In raw dollars, federal campaign spending rose by roughly 450% between 1988 and 2008. Adjusting the numbers for inflation, however, and we find that the growth drops to 141%; adjust for inflation and growth in GDP, the increase is just 23% over 20 years.

Campaign spending as a percentage of GDP remained essentially unchanged between the 1947 passage of the Taft-Hartley Act (the statute prohibiting all corporate spending in elections that was struck down in the Citizens United case) and 2008. In the cycle ending in Nov. 2008, spending on American election campaigns was equal to approximately 0.3% of GDP. By contrast, Indonesians spent over 1% of their GDP in election campaigns ending in April 2009. Nations that are much poorer than the U.S., such as Venezuela, have historically spent more money per capita on elections than we do.

But won't Citizens United open the floodgates to more corporate spending on elections? Again, the answer is yes

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and no. More money will probably be spent, but it is highly doubtful that there will be a "torrent" of corporate cash.

The 28 states that already allow corporate campaign expenditures for state races (including governor, state legislature and attorney general) are not awash in corporate political spending. And while corporations have been prohibited from making political expenditures since 1947, prior to 2003 they could spend unlimited sums on "issue ads," which could excoriate or praise candidates so long as they stopped short of explicitly urging listeners to vote for or against those candidates. Campaign finance reformers claimed that these ads were the "functional equivalent" of campaign ads. The limits on these "issue ads" enacted as part of the McCain-Feingold Act in 2002 reduced this type of corporate spending, but it certainly did not stop the growth of total campaign spending, as parties, candidates and political operatives found other ways to raise and spend funds. Few people would argue that the added restrictions of McCain-Feingold have noticeably changed our campaigns.

Corporations have also been allowed to operate Political Action Committees, or PACs, for several decades. These PACs, funded by contributions from corporate officers, managers, shareholders and their families, can contribute up to $10,000 per election cycle directly to candidates, or spend unlimited amounts promoting candidates on their own. Yet only about 60% of Fortune 500 firms maintain a PAC. (The smallest of these 500 companies, asset management firm Legg Mason, has revenues of over $4.5 billion annually, so all of them can afford PACs, and all of them are large enough to be heavily touched by federal regulation and tax and spending policy.) Moreover, fewer than 5% of PAC contributions actually reach the $10,000 per election cycle limit. Even within the pre-Citizens United limits, corporate PACs had room to increase their direct contributions to candidates by 40 times the amount that they were already giving—and after that, they could have still used their PACs for more corporate spending on top of that. But they did not.

Furthermore, under the law, a corporation can pay all of the legal, accounting, compliance and administrative costs of a PAC out of its general treasury. Yet in recent years just over half of all contributions to corporate PACs have been used to pay for these administrative expenses. If large corporations wanted to free up more PAC money for actual political expenses, before Citizens United they could have immediately freed up some $300 million simply by paying their PAC administrative costs from their general treasuries. They did not.

In fact, in California, which allows unlimited corporate expenditures, the 10 largest reported funders of independent expenditure committees between 2001 and 2006 did not include a single corporation. Rather, the list consists of unions, Indian tribes and two individuals, the long-time business partner of one of the candidates, and the partner's daughter.

After Citizens United, there will likely be a modest uptick in overall corporate spending, but mostly by small- and mid-sized corporations. The substantial costs of operating a PAC under complex legal rules, and the limits on the number of people eligible to contribute to the PAC, make PACs ineffective for most small- and mid-sized businesses. And because it takes time to organize and fund a PAC, companies that don't establish a PAC well in advance of an election are left out in the cold if they later choose to participate in the election. The upshot of this is that the court's decision is unlikely to benefit America's largest companies as much as smaller businesses.

But perhaps this is all moot. Despite all the concerns about corporate domination of American politics, there is little evidence that corporate contributions "buy" special favors from the government. In a 2003 paper, political scientists Stephen Ansolabehere of MIT (now at Harvard), John de Figueiredo of UCLA and James Snyder of MIT noted that corporate political spending, even in the pre-McCain-Feingold era of "soft money" and "issue ads," was far lower than one would expect if such spending really bought legislative favors.

For example, the researchers found that even though the U.S. government spent $134 billion on defense procurement contracts, military suppliers spent just $10.6 million on electoral politics. Agribusinesses spent $3.3 million on electoral politics, while the government spent over $22 billion on agricultural loans and price supports. Oil and gas companies spent $33.6 million on politics, despite government subsidies of $1.7 billion.

At first glance, some will find this disturbing—look how much business can buy for relatively small amounts of

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